

PM School Live Case Challenge

**Improving conversion rate
of Premium in India**



Premium

Introduction

Spotify, **the world's leading music streaming platform**, stands as a testament to the power of technology in shaping how we experience music.

With over **574 million users across 180 markets**, Spotify's reach is staggering, encompassing diverse cultures and musical tastes. Its journey, however, isn't just about numbers; it's a story fueled by data-driven insights and a relentless pursuit of innovation.

In 2023, Spotify's annual revenue soared to €11.72 billion, **representing a 21% increase from the previous year**. This impressive growth stems from a potent mix of factors, with premium subscribers now exceeding 226 million, accounting for a significant portion of the platform's revenue stream.

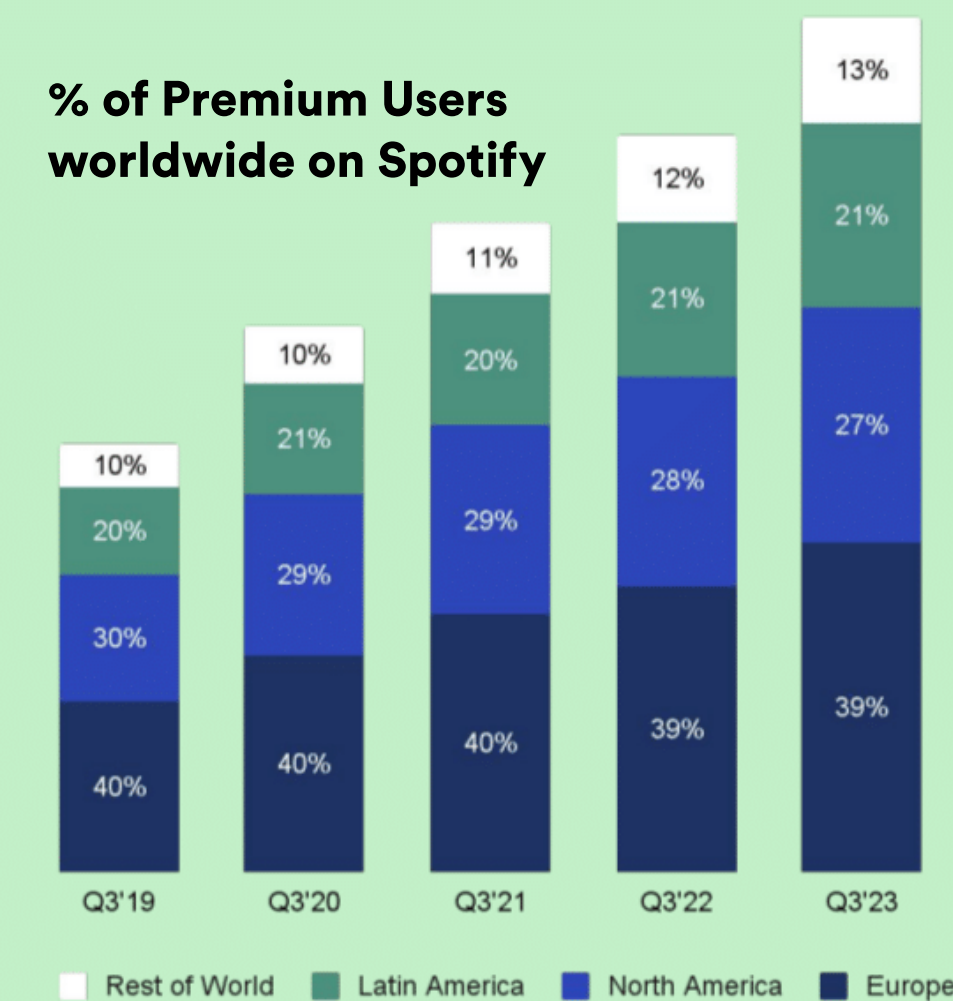
Spotify controls 33% of the global music streaming market as of 2023.

29% of Spotify's global users belong to the 25 to 34 age group. People aged between 18 to 24 make up the second biggest user group, with 26%.

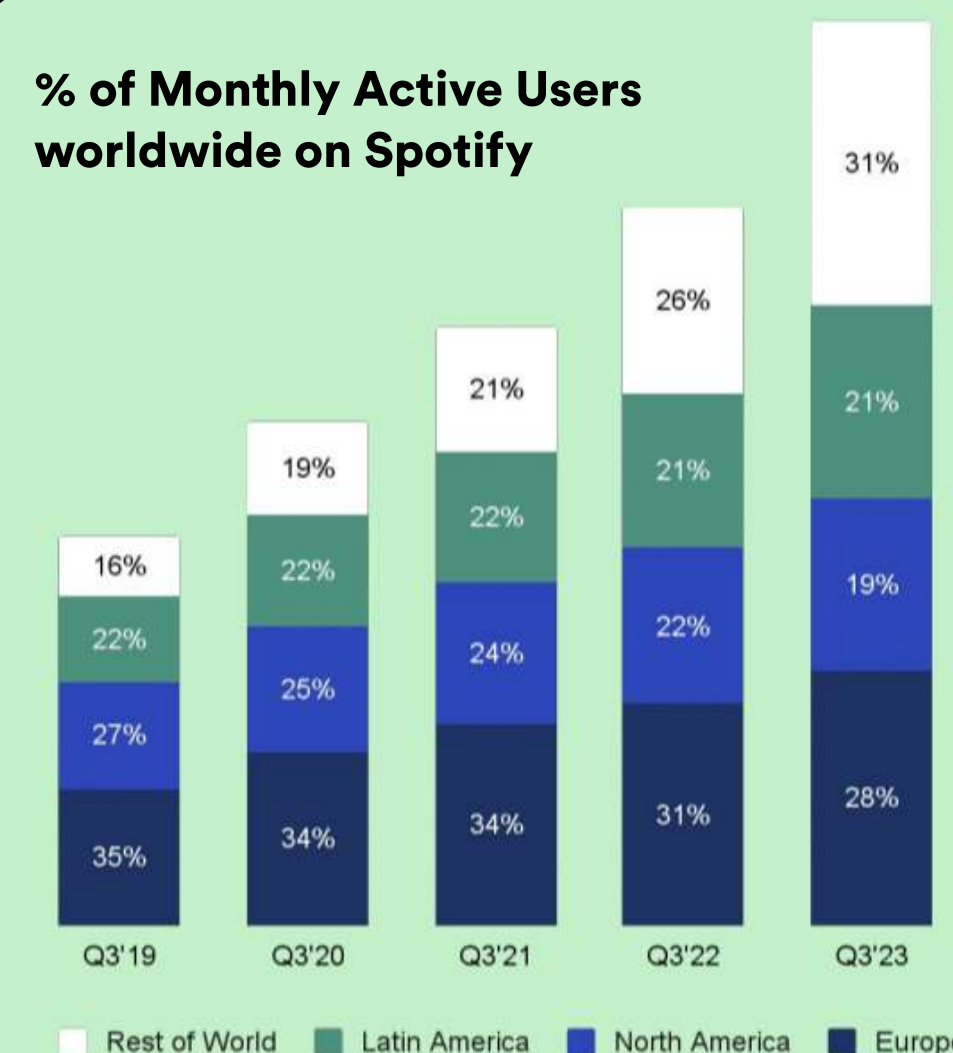
These demographic data show that millennials and **Gen Z dominate the platform, as they make up 55% of users.**

On the subscription revenue front in India (from all platforms), there has been significant growth compared to ad revenue. In FY23, about **5% of monthly active users were paid with average revenue per user (ARPU) per month ranging from Rs. 60 to Rs. 70.**

% of Premium Users worldwide on Spotify



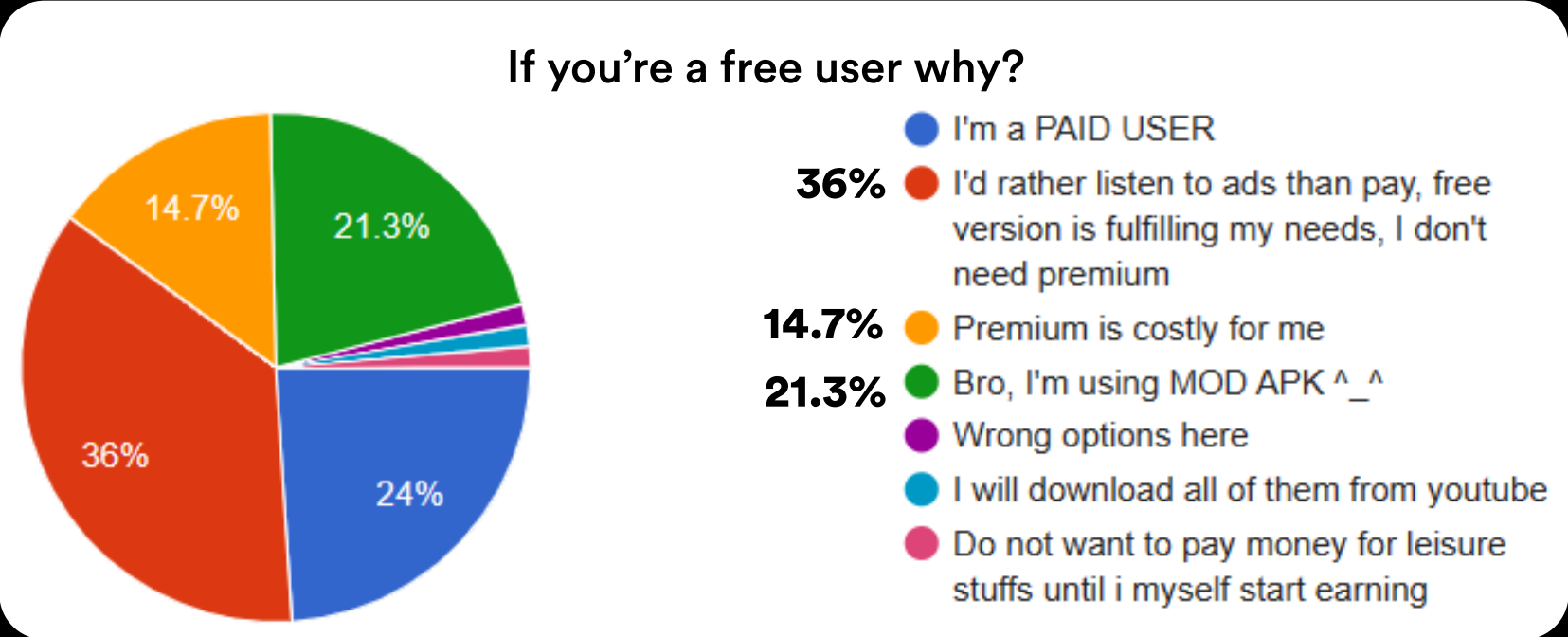
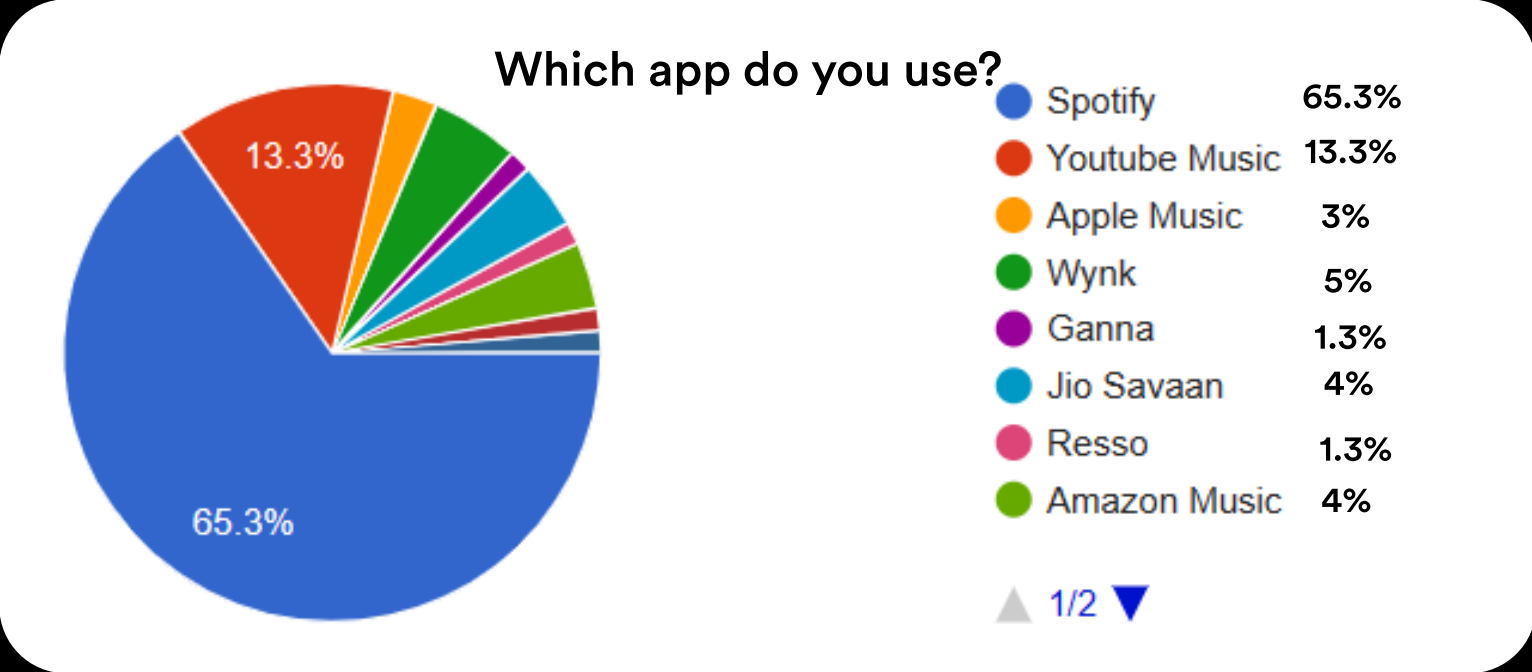
% of Monthly Active Users worldwide on Spotify



Research

As part of my Primary research, I surveyed 75 music listeners around me and these were the key insights found

[Link to Responses](#)



Competitive Analysis

	SPOTIFY	YT Music	APPLE MUSIC	RESSO	WYNK, JIOSAAVN, GAANA
Strenghts	Largest user base, strong brand recognition, extensive music library, personalized recommendations, premium features like podcasts and audiobooks, global reach.	Integration with YouTube platform and its biggest song library, ad-free music with Premium subscription, free tier includes basic playback with ads.	Strong integration with Apple ecosystem, high-quality audio options and High-profile artist partnerships	Focus on social music sharing with features like lyric karaoke, and multiple customisations, active influencer marketing.	Low prices attract first-time subscribers,Extensive Indian libraries across languages, Bundled subscriptions boost user acquisition.
Weaknesses	Higher premium price point than some competitors, limited free tier features, lack of focus on Indian regional music compared to local players.	Less focus on music discovery & recommendation compared to Spotify, user interface not as music-centric, relies on existing YouTube user base.	Smaller user base and higher price point.	Smaller music library compared to Spotify, limited international reach, higher reliance on user-generated content.	Limited Global Appeal, smaller music library & Content licensing restrictions hamper premium appeal.

And for Secondary Research i referred to these articles-[Click Here](#)

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User Personas



Sarah

Social Music Enthusiast

Demographics:

- Age: 24
- Location: Delhi, India
- Occupation: Student

Tech Savvy:

- Comfortable with new technology and apps
- Active on social media platforms like Instagram, TikTok, and Twitter

Spotify Usage:

- Free User, listens to music daily for at least 2 hours, heavily utilizes playlists and recommendations
- Enjoys Wrapped and other personalized features
- Motivated by: Discovering new music, sharing her music taste with friends, and creating a fun and social music experience.
- Pain points: Feels limited by the current social features on Spotify, desires more interactive ways to connect with friends around music.

"I love Spotify, but it could be even better if I could share my music experience in a more fun and interactive way with my friends. I'd love to sing along with them, discover new artists together, and maybe even create our own Spotify Wrapped challenges!"



David

Data-Driven Music Explorer

Demographics:

- Age: 32
- Location: San Francisco, USA
- Occupation: Data Analyst

Tech Savvy:

- Highly tech-savvy and enjoys using data-driven tools.
- Appreciates detailed statistics and personalized recommendations.

Spotify Usage:

- Premium subscriber, listens to music primarily during work and commutes.
- Motivated by: Discovering new music based on his specific listening preferences, understanding his music tastes through data, and finding hidden gems.
- Pain points: Feels current Spotify recommendations are too generic, desires more in-depth statistics and insights into his listening habits.

"I love Spotify's recommendations, but I want them to go deeper. If they could analyze my listening habits based on my schedule and activities, I'd be blown away. And seeing my Wrapped data in even more detail would be like a treasure map to new music I'd love."

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Decoding Problem Space

The Problem lies in the Indian's Consumer Mindset who **always looks for free**

Jugaad-“hack” or quick fix.

*Ravi-“ As the decades passed and India's markets gradually opened up, the idea of jugaad began to evolve still further: It became a point of pride for Indians of all income levels.”

And the most common Jugaad in music streaming apps is “MOD-APK”. India's majority of users are Android users which is why people use Mod-apk's extensively.

According to my primary research, **22.5%** MOD-APK
USERS
This shows that people do want to use premium but don't wanna pay

Compromise

Most of SaaS products in India have made majority of revenue through “Ads” as compared to revenue from “Paid-Subscription”

Because, majority of Indian users are now used to watch ads and are ready to watch ads rather than pay for premium version. They tend to compromise everything and try to settle with free version.

According to my primary research, **37.5%**
of people are ready to listen to ads and satisfied with free version

Music Library

Recently many songs were removed from the platform due to contract with music producers.

People tend to choose the platform which have the all the music available.

Lots of users complained about it in the collected responses.

“ the average Indian music listener has always experienced free music (mostly due to online piracy) & is rarely ready to pay to stream music online. ”

Why?

“ **Peer influence produces more than 60% increase** in the likelihood of buying the service because of the influence of a friend who has purchased the service. ”

“ **Enjoyment** and **price value** were found to be the only determinants of the intention to upgrade. ”

Majority of audience is youngsters, & currently spotify doesn't have any premium plans for a group of friends

But wait there's more to it,

We'll be trying to engage the friends who bought together and making them interact in a fun way through Friends Zone(NXT PAGE).

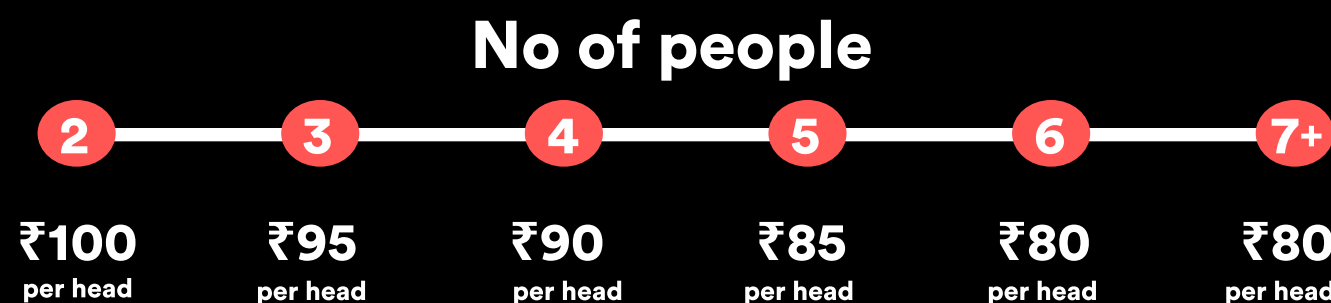
Premium Friends

Premium Friends

From ₹80
FOR 1 MONTH

For 2 or more Premium Accounts • For a group of friends • Access to Friends Zone • Ad-free music listening • Download 10,000 songs/device • Choose 1,3,6 or 12 months of Premium
Debit and Credit cards accepted

VIEW PLANS



This price is just an example, it can be changed but it should follow this price order

Premium Duo > Premium friends > Premium family

Subscription Model

This will be a flexible plan where you can buy for 2 or more accounts and the price will be charged accordingly

Advantages

- Leveraging peer influence: **Friends are more likely to consider Premium if they can share the cost and enjoy the benefits together.**
- **Targeting young demographic:** Young users, who form Spotify's majority audience, are often price-conscious and value social experiences. Group plans cater to both these points, making Premium more accessible and enjoyable for friend groups.
- Unique value proposition: Offering a group plan **distinguishes Spotify from competitors** who mainly focus on individual subscriptions. This unique offering can attract new users and retain existing ones.

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Friends Zone

A dedicated space for friends to interact with each other through Music

Recommending Songs

User can share whole song or only selected part of song

An animated cover with song will be shared in friends zone.

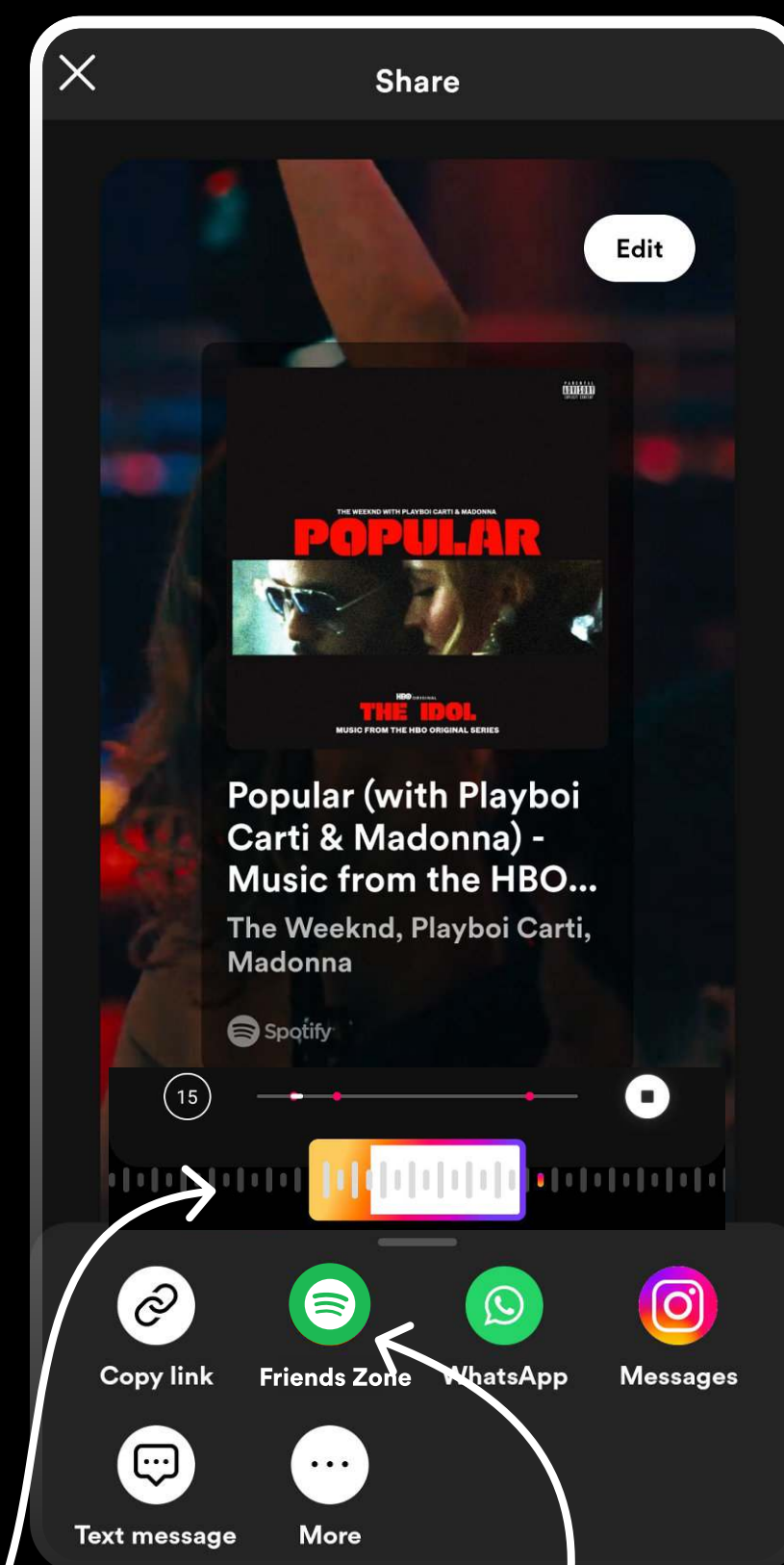
Sing Along with friends

This karaoke-style feature adds a fun and interactive element to music listening.

Suppose a song have 3 singer collaborations, so 3 friends can sing together and record as well.

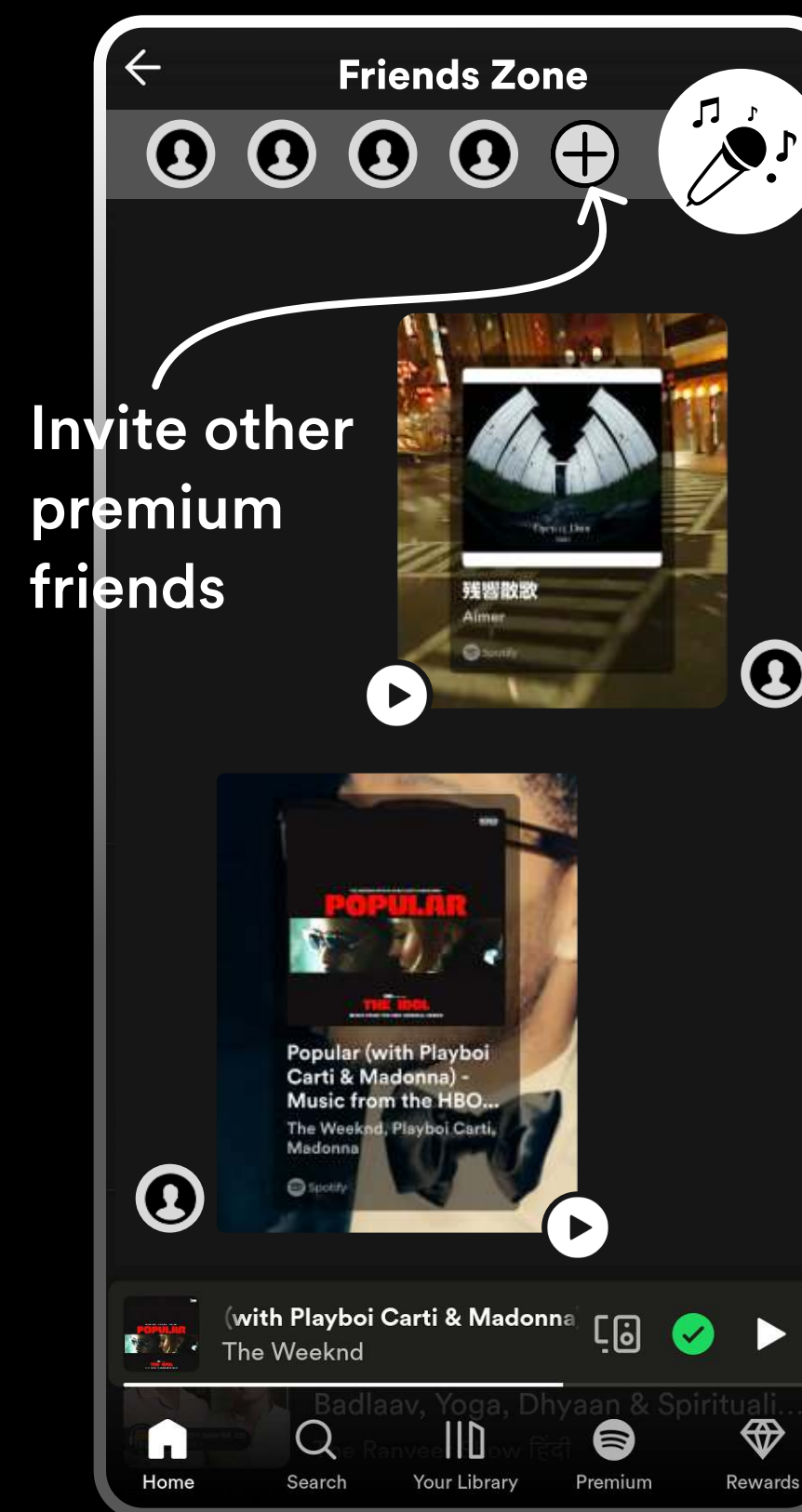
AI can do audio mixing and compose a song out of the recording, which user can share on other platforms and will be shared automatically in friends zone.

This friend zone can be integrated with Spotify Jam (already present feature) to have a joint listening sessions with friends.



Adjust length of song

Share to friends zone



Sing-Along with friends

Invite other premium friends

This Friends zone is for **all the premium subscribers**, not only premium friends. **Other premium users will have to invite their friends** to add to friend zone

Advantages

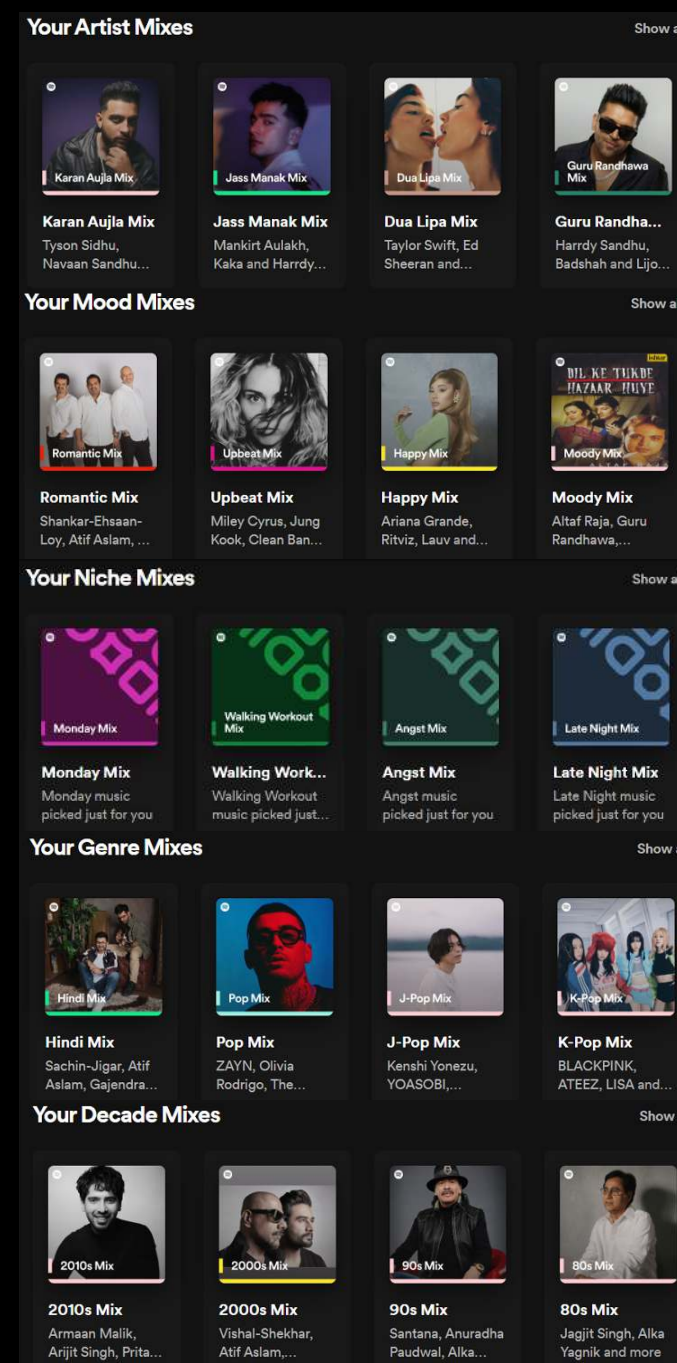
- **Drive longer listening sessions:** Users are more likely to spend time on Spotify if they can interact with friends and create something together.
- **Reduce churn and boost user retention:** The sense of community and shared experiences can incentivize users to stick with Spotify over other platforms.

Why?

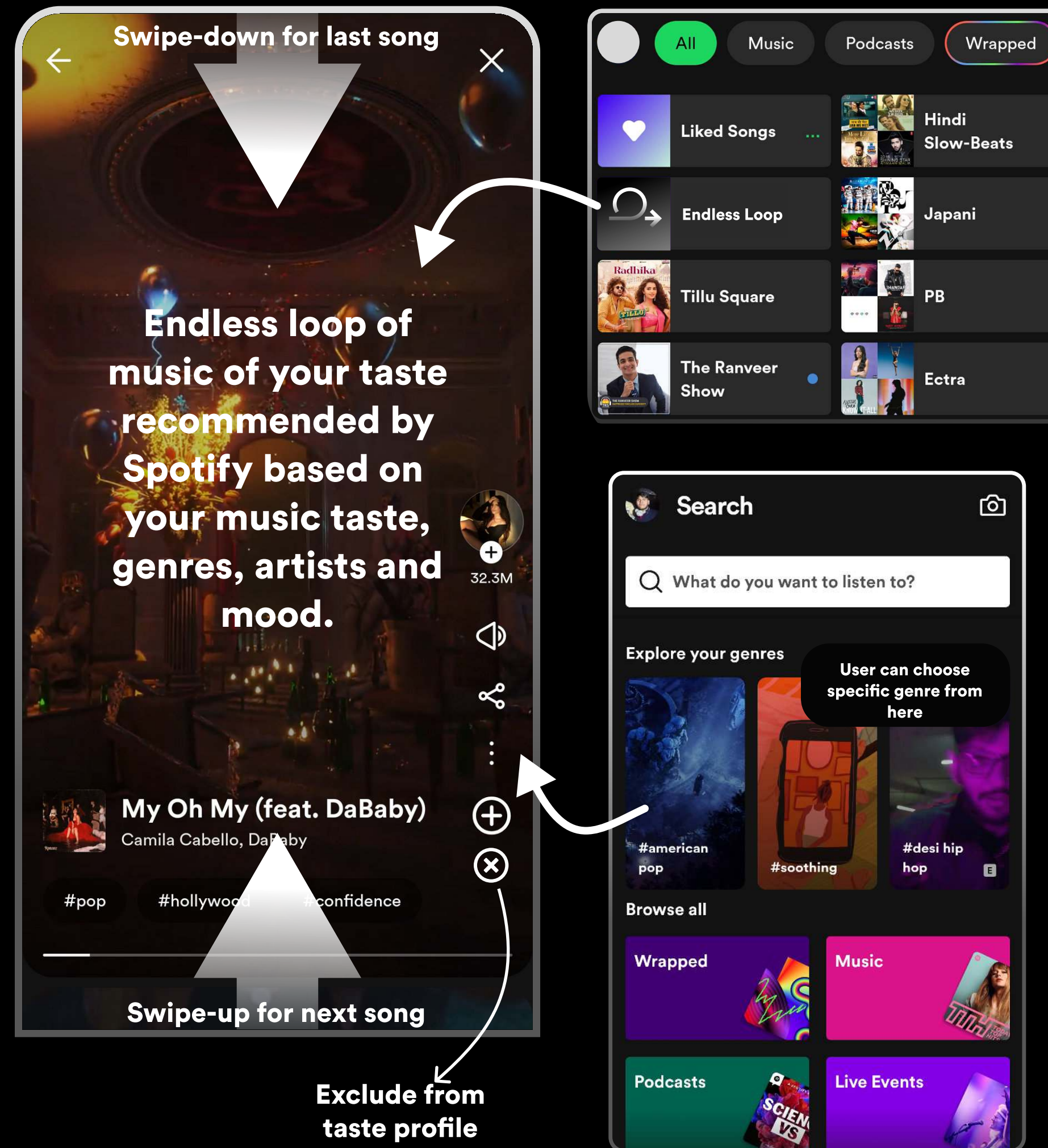
Sometimes when a user opens Spotify he doesn't know what to listen and often gets confused between various playlists in the feed.

Users complained about various songs being removed from platform, so why should they buy premium if they don't get to listen all songs.

Currently there are **playlists covering Artists, Mood, Niche, Genre and Decade Mixes**

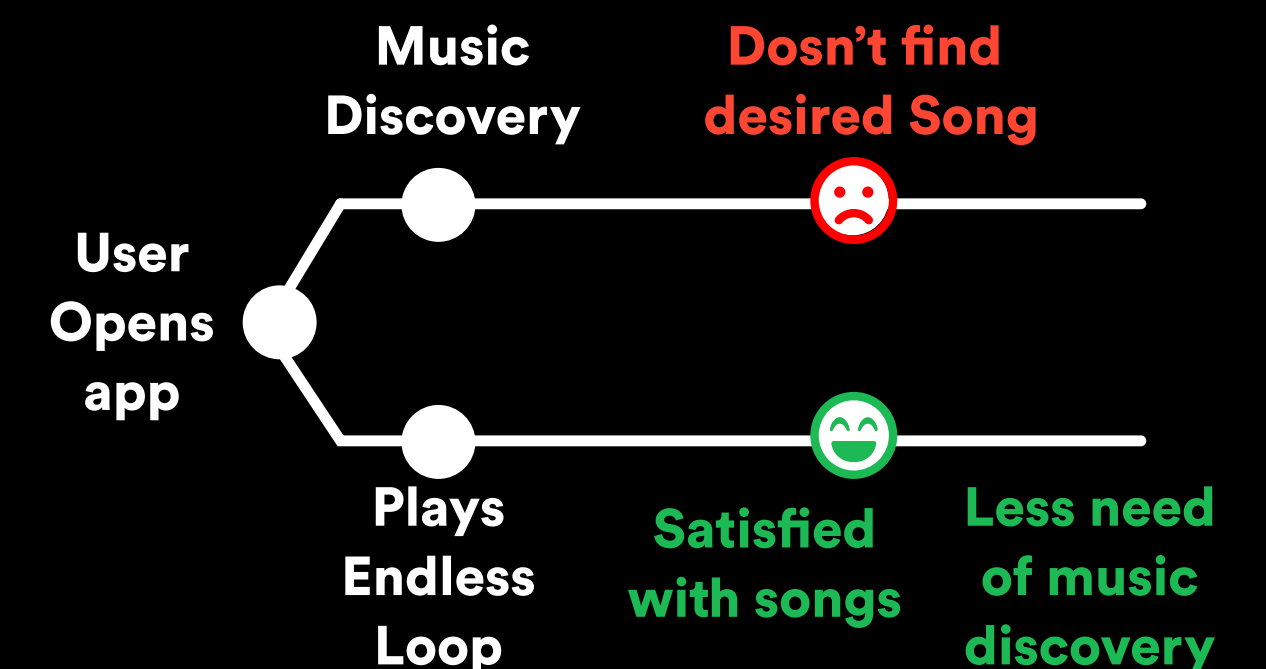


Infinite Loop



Advantages

- By automatically playing music based on context, users won't have to scroll through endless playlists or waste time deciding what to listen to.
- It can introduce users to new artists and genres and broadening their musical horizons.
- With the right music playing automatically, users can enjoy a continuous listening experience, potentially mitigating frustration about removed songs.



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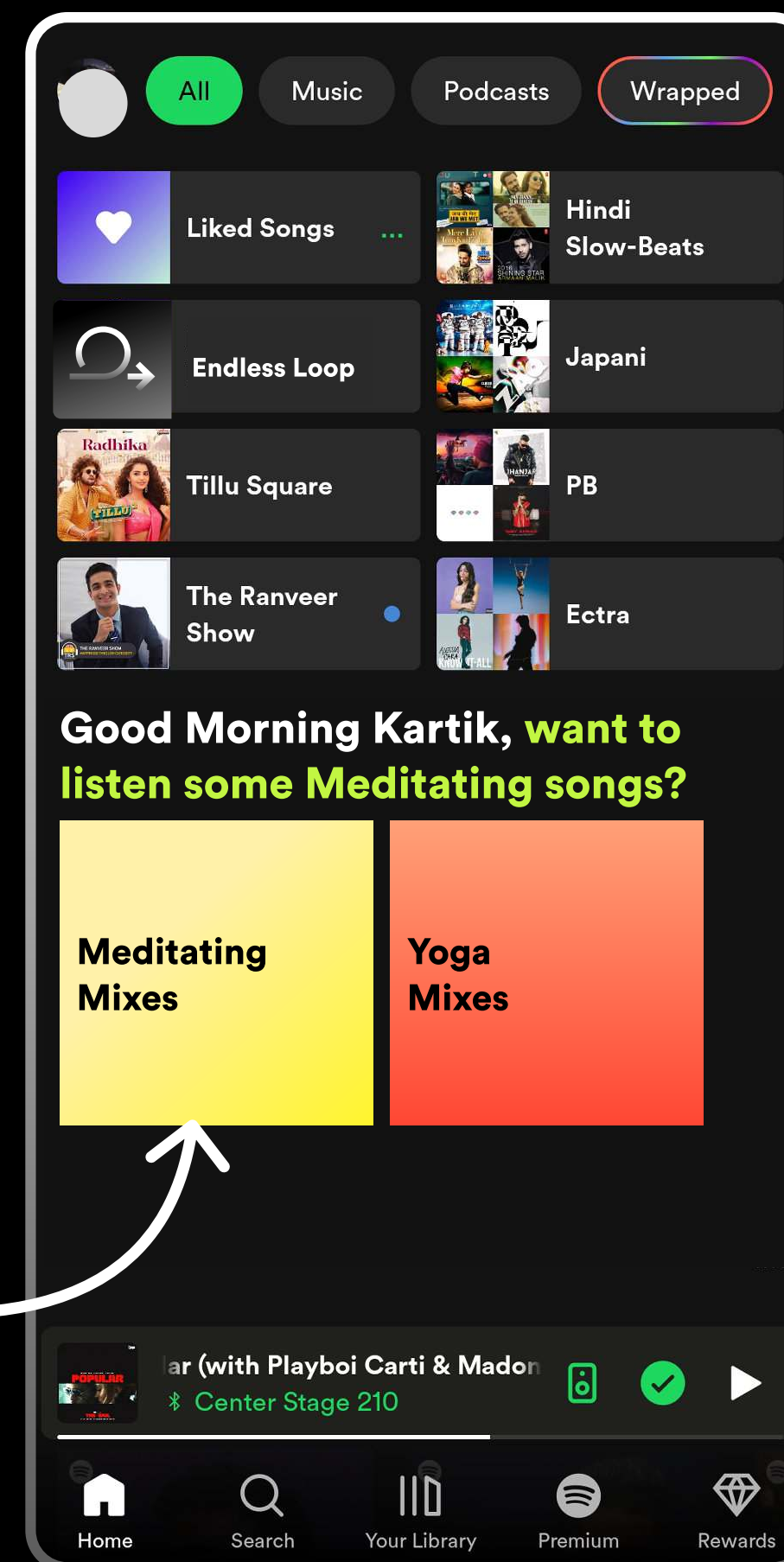
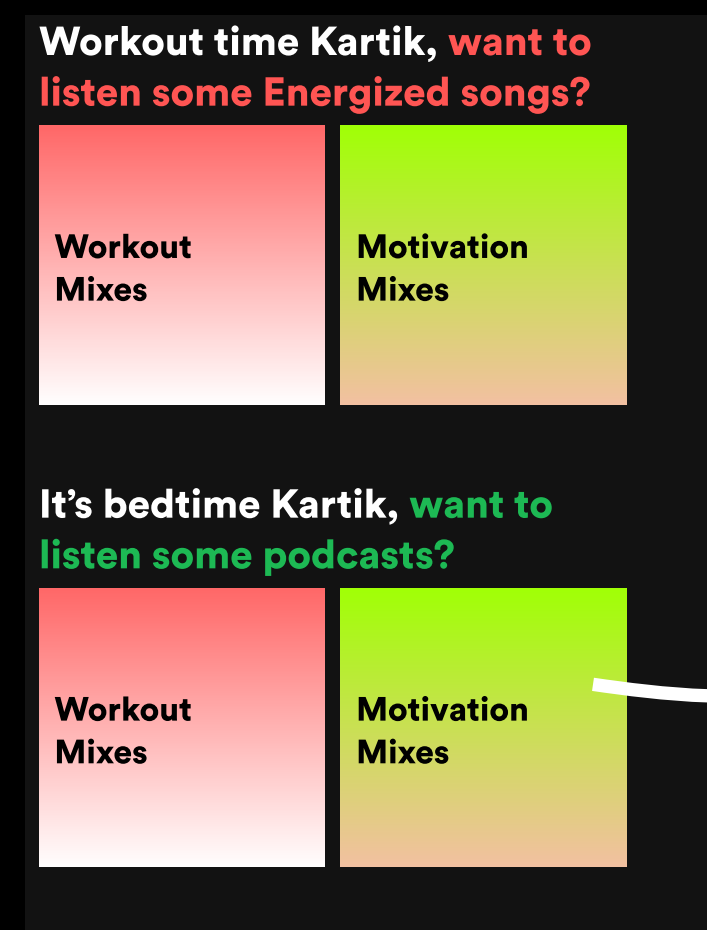
Personalised AI Reccomendations

Overview

Through this feature, spotify will give recommendations according to user listening pattern

for eg presenting meditating songs in Morning, Energized songs during workout time and podcasts or slow-beat songs at night.

The User can set-up this personalized AI recommendations in settings, by adding their schedule and when they want to listen music for eg workout time, Study sessions, Bed-time.



Advantages

- Increased engagement and listening time: Users are more likely to listen for longer periods if they know the music is perfectly suited to their current mood and activity.
- Reduced friction and decision fatigue: Removing the need to manually search for appropriate music saves time and mental effort, allowing users to focus on enjoying the experience.
- Providing highly-tailored listening experiences reinforces the value proposition of Premium and potentially encourages upgrades.

Gamified Profile

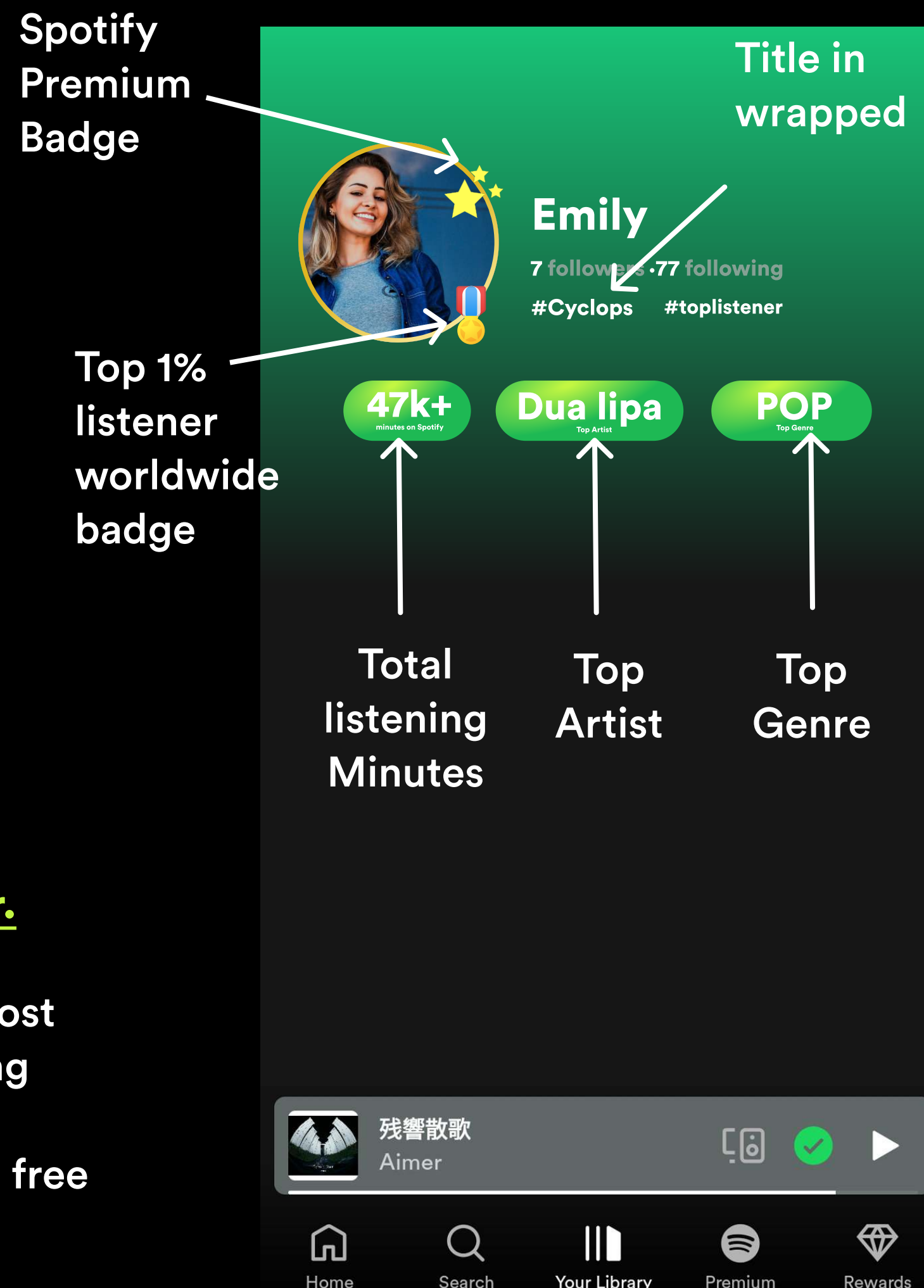
Overview

We can provide Premium Users a unique profile with Badges and their User Stats. Spotify can use stats from the wrapped such as total listening minutes on Spotify, top artist or top genre or anything else.

★ Some changes for 2024 Spotify Wrapped

Having Unique and New stats slides for premium users as compared to free user.

Spotify Wrapped is one of it's kind and most awaited by Spotify users worldwide, doing these **changes will create a feeling of something left-out** in free users and drive free users to buy premium



Advantages

- Enhanced Profile Customization: Offering badges earned through listening habits and unique, premium-only stats provides Premium users with a more personalized and visually appealing profile, setting them apart from free users.
- Gamified profiles can showcase listening achievements and musical tastes, and encourage interaction between users of same taste and Artist fandoms.(Mendes fandom, BTS Army, etc.)
- Creating a FOMO Effect: Exclusive Wrapped features only for Premium users can create a feeling of missing out among free users, potentially incentivizing them to upgrade.
- Exclusivity of profiles of premium users effectively communicates the additional value proposition of Premium beyond ad-free listening.
- Leveraging Social Sharing: Premium users are more likely to share their unique Wrapped profiles on social media, organically promoting the platform and potentially influencing others to upgrade.

Prioritization- RICE Framework

Feature	Reach	Impact	Confidence	Effort	RICE
Premium Friends	6	9	9	7	69.4
Friends Zone	10	8	8	9	<u>71.1</u> ★
Infinite Loop	7	6	8	7	48
Personalised AI Recommendations	7	5	6	9	23.3
Gamification and Wrapped	9	7	8	8	63

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Market Research

- Utilise user surveys to understand the pain points
- Run secondary research to support the hypothesis
- Understand potential pains and risks with the current customer journey
- Analyze competitors offering similar features



Development

- Prioritise between suggested solution based on user & business goals
- Review and refine ideas along with other stakeholders
- Develop the feature, ensuring alignment with design and meeting user needs.
- Conduct thorough testing and debugging to ensure the feature is stable and secure.



Go-to-Market Strategy

By continuously evaluating and adapting your approach, we can significantly increase the chances of your new Spotify features achieving success and contribute to the platform's overall growth and leadership in the music streaming landscape.

Launching Phase

Phase 1

- Pre-launch Hype: Buzz through social media, influencers, and press.
- Beta Test: Gather feedback to refine features and ensure a smooth launch.
- Landing Pages: Clearly explain benefits and access for each feature.
- In-App Promos: Showcase features with banners, notifications, and pop-ups.

Phase 2

- Phased Rollout: Release gradually to different user segments for optimization.
- Enhanced Onboarding: Guide users with tutorials & personalized recommendation.
- Community Building: Encourage interaction in Friends Music Space and Wrapped profiles.

Phase 3

- Regular Updates: Maintain interest with fresh functionalities, challenges, and content.
- A/B Testing: Optimize performance and engagement by testing variations.
- User Feedback: Actively solicit suggestions to guide future development.
- Strategic Partnerships: Unlock new content, experiences, and revenue streams.



Post-Launch

- Continuously monitor the features performance and user feedback.
- Address any critical issues promptly.
- Launch the feature to the broader user base based on performance.
- Implement marketing and promotional activities.

Success Metrics

Awareness

1. Brand Mentions and Sentiment: Volume and sentiment of mentions of new features on social media, news outlets, and influencer channels.
2. Organic Reach: Number of unique users reached through social media and influencer promotion of new features. Number of shares, comments, and reactions on content promoting new features.
3. Word-of-Mouth and Buzz : Rate of organic mentions of new features in user conversations and online communities.

Activation

1. Feature completion rate: Track the percentage of users who finish setting up and using each new feature to its full potential.
2. Measure number of badges earned, stats explored, and profile customizations made.
3. Number of friends added and interactions within the Friends Music Interaction Space
4. Number of group Premium plans created and average number of users per plan

Acquisition

1. Daily/Weekly/Monthly sign-ups for each feature
2. Conversion rate from free to Premium after feature launch.
3. Traffic increase to dedicated feature pages

Retention

1. Churn rate before and after feature launch: Compare churn rates to see if any feature negatively impacts user retention.
2. Number of user-generated playlists, collaborations, and recordings in the Friends Music Interaction Space
3. Renewal rate for group Premium plans

Revenue

1. Average Revenue per User (ARPU).
2. Monthly Recurring revenue.
3. Advertising revenue generated through increased user engagement and platform stickiness
4. Track revenue from new friends plan : Number of group Premium plans created and average number of users per plan.

Referral

1. Number of social media shares and mentions of each feature
2. Number of friend invites sent and accepted within the Friends Music Interaction Space.
3. Net Promoter Score (NPS).



North- Star Metric

Average Revenue per User(ARPU) before and after feature launch.

Churn Rate

Thank You.



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